

INS-000 • THE INSITE™ PRIMER

A plain-language education in small-subdivision fee financing, from soup to nuts | HGF Management Company | July 2026

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Prepared for Dennis Lanni | HGF Management Company | July 2026

Reading level: plain English. Every technical term is defined the first time it appears.

Every number in this primer comes from a source listed in Part 6. Items that are estimates or targets are labeled that way.

How to use this document

Read Parts 1 and 2 to understand the world INSITE lives in. Read Parts 3 and 4 to understand the business. Use Part 5 before any stakeholder meeting. Part 6 lists the sources, and Part 7 is a glossary you can review in five minutes before a call.

PART 1: THE WORLD THIS LIVES IN

1.1 What happens when someone builds homes in California

Building even a few homes follows the same basic path:

1. A developer buys land.
2. The developer asks the city or county for permission to divide the land into lots. This permission process is called **entitlement**. The map that divides the land is called a **subdivision map**.
3. The city approves the map with conditions. Conditions usually include building streets, sewer lines, water lines, and storm drains. These are called **public improvements** because the public will use them.
4. Before the city hands over **building permits** (the permission slips to actually construct houses), the developer must pay a set of one-time charges called **fees**.
5. The developer builds the homes, sells them, and pays back whatever money was borrowed.

The key point: the fees in step 4 are due **before** the developer has any houses to sell. All the money goes out long before any money comes in.

1.2 What impact fees are, and why cities charge them

An **impact fee** is a one-time charge on new construction. The idea is simple: new homes bring new people, and new people need roads, parks, sewer capacity, fire stations, and schools. Impact fees make new development help pay for that growth.

Why do California cities lean on fees so heavily? In 1978, California voters passed **Proposition 13**, which capped property taxes. Cities lost a big source of money for infrastructure. Fees on new development became one of the few tools left to pay for growth. Researchers at UC Berkeley's Terner Center make this point directly, and news coverage of their work repeats it: cities charge these fees partly because Proposition 13 limits their ability to fund services from property taxes.

Fees are not unlimited. A state law called the **Mitigation Fee Act** (California Government Code sections 66000 to 66025) says a fee must have a reasonable connection, called a **nexus**, between what is charged and what the new homes actually cost the public. Cities must do a **nexus study** to prove this. A newer law, **AB 602** (2021), requires cities to post their fee schedules on their websites and to update nexus studies at least every eight years.

1.3 How big the fees are

These numbers come from the Terner Center at UC Berkeley, which the State of California hired to study fees:

- In 2015, the average impact fee in California was about **\$23,455 for a single-family home** and about **\$19,558 per multifamily unit**. That was almost **three times the national average**.
- Total development charges in some California cities **can exceed \$150,000 per unit**, not counting utility fees.
- In a study of affordable housing projects built from 2020 to 2023, impact fees averaged about **\$19,806 per unit**, and 134 projects were charged **more than \$30,000 per unit**.

So a small project of 10 homes can easily owe \$200,000 to \$500,000 in fees before a single wall goes up.

1.4 The developer's cash problem

Big homebuilders have big bank lines and can absorb this. Small developers, the ones building 2 to 50 homes, usually cannot. They have three options today:

1. **Pay cash.** This drains the working capital they need for construction.
2. **Borrow from a bank.** Banks are cautious about land that has no houses on it yet, and many will not lend against fees at all.
3. **Borrow private money**, sometimes called **hard money**. Published rate guides for 2025 and 2026 put typical private real estate lending at roughly **9.5 to 15 percent** per year, and loans on bare land usually price at the high end with extra fees.

That is the pain INSITE aims at: small builders paying high-cost, short-term money, or draining their cash, to cover public fees that will not produce revenue for a year or more.

PART 2: THE TOOLS CALIFORNIA ALREADY HAS

2.1 The property tax roll, the quiet machine underneath everything

Every county keeps a list of every property and what it owes each year. That list is the **tax roll**. Twice a year, property owners get a bill. If an owner does not pay, penalties stack up, and eventually the county can sell the property to collect. A legal claim like this against a property is called a **lien**.

This machine matters because it is one of the most reliable payment systems in America. People pay their property tax bill. Lenders know this. So any debt that gets collected **on the tax roll, secured by a lien on the land**, is considered strong security.

2.2 Land-secured financing, the big idea

Land-secured financing means: borrow money for public purposes, attach the repayment to the land itself, and collect the payments on the property tax bill. The debt belongs to the property, not the person. If the property sells, the new owner keeps paying (or pays it off). California has used this idea for over a century to build streets, sewers, and schools.

2.3 Mello-Roos, the flexible version

After Proposition 13 squeezed city budgets, the Legislature created a new tool in 1982: the **Mello-Roos Community Facilities Act** (Government Code section 53311 and the sections after it). It lets a city, county, school district, special district, or joint powers authority form a **Community Facilities District**, called a **CFD**.

Here is how a CFD works, in plain steps:

1. A public agency draws a boundary around some land and proposes a **special tax** on the property inside it. A special tax is an extra line on the property tax bill, separate from the regular 1 percent property tax.
2. The special tax needs approval by **two-thirds of the qualified voters**. Here is the practical part: if fewer than 12 registered voters live inside the boundary, the **landowners are the voters**, one vote per acre. On empty development land, that means the developer votes yes on their own land. Nobody is taxed against their will.
3. Once approved, the special tax becomes a **lien recorded against the land**. It is collected with the property tax bill. If it is not paid, the agency can foreclose, just like unpaid taxes.
4. The agency can then borrow money, through **bonds or notes**, that will be repaid by the special tax over 20 to 40 years.

Why Mello-Roos instead of older tools? Three reasons that matter for INSITE, all confirmed by the programs that already use it:

- CFDs can finance a **broad menu** of public facilities, and importantly, they can finance **development impact fees** and fees related to schools and mitigation agreements.
- CFDs can include **scattered pieces of land**, not just one connected area.
- CFDs can be built with a **future annexation area**. That means new properties can **join an existing district later** through a simple administrative process, instead of forming a brand-new district each time. This one feature is the heart of INSITE's cost model.

One more fact from the state's own Debt Financing Guide: forming a CFD from scratch usually takes **six months or more**. That is exactly why forming one district per city, once, and then annexing small projects into it, is so attractive.

2.4 The other path: 1913 and 1915 Act assessment districts

California's older tool is the **assessment district**. Under the **Municipal Improvement Act of 1913**, an agency places an **assessment lien** on properties that benefit from an improvement, and under the **Improvement Bond Act of 1915**, it issues bonds repaid by those assessments. The statewide SCIP program (described below) uses this pair of laws as its main engine.

Assessments require an engineer's report showing each parcel's special benefit, and the tool is generally less flexible than Mello-Roos for scattered sites and later annexations. INSITE's chosen path is Mello-Roos, with assessments as a known alternative.

2.5 Bonds, notes, and private placement

A **bond** is a loan sliced into pieces and sold to many investors. A **note** is the same idea in a simpler package, often held by one lender. Interest on most municipal debt like this is **tax-exempt**, meaning the investor does not pay federal income tax on the interest. Because of that tax break and the strength of tax-roll collection, this kind of debt usually carries a **lower interest rate** than private construction money.

A **private placement** means the debt is sold directly to one buyer, such as a bank or a family office, instead of being offered to the public market. Private placements skip a lot of the cost and paperwork of a public bond sale. INSITE's plan is private placements: one relationship buyer holds each note. (Note: INSITE's target pricing "below private lending rates, around the mid-5 percent range" is a **founder target**, not a quoted rate. No term sheet exists yet, and materials must say so.)

2.6 Value-to-lien, the safety cushion

Lenders and the law both ask the same question: is the land worth enough to cover the debt if everything goes wrong?

The measure is the **value-to-lien ratio**: the value of the property divided by all the land-secured debt on it. State law, **Government Code section 53345.8**, says that before bonds are sold, the agency must find that the property is worth **at least three times** the debt (3 to 1), based on the assessment roll or a professional **appraisal**. The same law told the State Treasurer's office, **CDIAC**, to publish appraisal standards, and agencies must adopt appraisal standards before forming a CFD.

INSITE's policy is stricter: **four times** (4 to 1). That is not unusual caution. CSCDA, the largest statewide issuer, requires 4 to 1 in its own adopted policies. A 4 to 1 rule means a project appraised at \$2 million can support at most \$500,000 of this kind of debt.

This is why INSITE's appraisal manuals (INS-101 and INS-102) exist. Every deal needs an independent **MAI appraiser** (the senior designation from the Appraisal Institute) to value the finished lots and confirm the cushion.

PART 3: THE MARKET AND THE GAP

3.1 Who already does this: SCIP and BOLD

INSITE is **not** the first program to finance impact fees on the tax roll. Two statewide programs already do it, and honesty about them is a credibility test in every meeting:

SCIP, the Statewide Community Infrastructure Program, is run by **CSCDA**, a joint powers authority sponsored by the League of California Cities and the California State Association of Counties, with over 530 member agencies. SCIP finances impact fees and public improvements, mostly through 1913/1915 Act assessments, with a CFD option. Key published facts: SCIP typically finances projects with **as little as \$500,000** in fees and improvements, charges a **\$1,500 application fee**, bundles issuance costs of roughly **4 to 5 percent**, and issues **pooled bonds about three times a year** on a set calendar.

BOLD, Bond Opportunities for Land Development, is run by **CMFA**, another statewide joint powers authority. BOLD uses Mello-Roos CFDs, and its materials state plainly that it finances infrastructure and fee obligations including impact fees and fees related to schools. Since its first issuance in February 2020, BOLD has financed **about \$550 million across 65+ projects supporting more than 12,000 housing units**. Simple division says the average BOLD project involves roughly **185 units**. That is a different world from a 6-lot infill project.

3.2 Why small projects fall through the cracks

Nothing in the law stops a 6-lot project from using a CFD. Economics stop it. Every deal, big or small, carries fixed costs: bond counsel, appraisal, special tax consultant, issuer time, document preparation. Spread over 200 homes, those costs disappear. Spread over 6 homes, they can eat the whole benefit. Add the pooled calendar (waiting months for the next bond pool) and the reality that professionals prioritize larger fees, and small projects mostly stay with cash or hard money.

Careful phrasing matters here: the claim is **not** that SCIP and BOLD cannot serve small projects. The claim, supported by their own published numbers, is that they are **built and priced for larger ones**. INSITE's bet is an operating model tuned for the small end.

3.3 Why now: the state is manufacturing small projects

Two recent laws are producing exactly the projects INSITE serves:

- **SB 684** (2023, effective July 1, 2024) requires cities to approve, **ministerially**, subdivisions of **10 or fewer lots** with **10 or fewer homes** on multifamily-zoned land up to 5 acres. Ministerial means no public hearing, no discretionary review, no CEQA environmental review, no appeals, and a **60-day decision clock**. It even allows building permits before the final map records.
- **SB 1123** (2024, effective July 1, 2025) extends the same fast lane to **vacant lots in single-family zones** up to 1.5 acres.

Cities like Los Angeles have already published application checklists and implementation memos. The pipeline of small, fast-approved subdivisions is growing by design. Every one of them will owe fees at the building permit stage.

3.4 How big the market is, with the math shown

From the U.S. Census Bureau's Building Permits Survey, final 2025 data (the primary files were downloaded and the math re-run for this project):

- California permitted **103,856 housing units** in 2025.
- **62,372 of those units** were in structures of **1 to 4 units**. That is about 60 percent of everything permitted.

If you assume **\$25,000 of financeable public fees per unit** (an assumption consistent with the Turner fee data above, and labeled as an assumption everywhere it appears), the 1-to-4-unit segment alone represents roughly **\$1.56 billion per year** in fee obligations. Capturing even 2 percent would be about \$31 million of annual financing volume. The 5-plus-unit category (41,484 units) is excluded from this math because public data cannot separate a 12-unit infill project from a 300-unit apartment complex, which makes the estimate deliberately conservative.

PART 4: INSITE

4.1 What INSITE is

INSITE is a program administrator. It is not a lender, not a bank, and not a government agency. It is the operating company, owned by HGF Management Company, that makes small land-secured deals practical by standardizing everything: the documents, the appraisal rules, the underwriting policy, the annexation package, the funding steps, and the annual administration.

The public agency (a city, county, or JPA) is always the **issuer**. It owns the district, adopts the policies, and authorizes the debt. INSITE does the work around it.

4.2 The signature move: one district per city, then annex

Forming a CFD takes six-plus months and real money. INSITE's model pays that price **once per participating jurisdiction**:

1. Work with a city (or a JPA covering it) to form **one Master CFD** with a **future annexation area**.
2. When a small project wants financing, it **annexes into the existing district** through the administrative process the Mello-Roos Act allows, with the landowner's unanimous consent.
3. Per-project execution then shrinks to the appraisal, document package, title work, and annexation processing. The founder's estimate for that per-project cost is **\$5,000 to \$30,000**, which is labeled an estimate until real vendor quotes replace it.

This is the same architectural trick that let PACE energy programs do thousands of small deals: one framework, many administrative joiners. Important legal honesty: **PACE is only an analogy for the operations**. PACE statutes are not legal authority for subdivision improvements or impact fees. The authority here is the Mello-Roos Act.

4.3 A deal, step by step

This follows the numbered flows on the INSITE Program Structure Map:

1. **Application.** The developer submits the Developer Data Package (checklist INS-201): title report, maps, budgets, fee schedule, existing liens.
2. **Appraisal.** INSITE assigns an MAI appraiser from its preferred network. The appraiser values the finished lots under the INS-101 standards and confirms the deal passes the 4-to-1 test.
3. **Annexation package.** INSITE prepares the standardized annexation documents and delivers them to the issuer.
4. **Approval.** The issuer approves the annexation into the Master CFD and authorizes the special tax and the notes.
5. **Funding.** The capital partner (a bank or family office) purchases the privately placed, tax-secured note.
6. **Fees get paid.** Note proceeds pay the eligible public fees to the city and districts. The developer still pays the deal's execution costs and the special tax on any lot they hold, but the fee check itself does not come from the developer's pocket.
7. **The levy.** Each year, the special tax is placed on the county tax roll for the parcels in the project.
8. **Repayment.** Property owners pay the special tax with their property tax bill. Collections flow through as debt service to the note holder. INSITE administers the whole annual cycle: levy calculation, roll submission, collections reconciliation, delinquency monitoring, and investor reporting.

4.4 Who does what

Player	Job
Developer	Applies, provides the data package, consents to the special tax on their own land
INSITE (HGF Management)	Runs everything operational: intake, underwriting, appraisal management, documents, funding coordination, annual administration, reporting
Public issuer (city / county / JPA)	Owns the Master CFD, adopts resolutions and policies, approves annexations, authorizes the notes
MAI appraiser	Independent valuation to INS-101 standards; supports the value-to-lien finding
Bond counsel	Legal opinions that make the notes valid and, where applicable, tax-exempt
RMA / special tax consultant	Designs the Rate and Method of Apportionment, the formula that sets each parcel's annual special tax (a one-time design task, then reused)
Tax roll administrator	Prepares the annual levy files for the county, tracks payments and delinquencies
Capital partner	Buys the notes; earns tax-advantaged, land-secured yield
County tax collector	Bills and collects the special tax with the property tax bill
Property owners	Pay the annual special tax over the note term; the obligation is disclosed at purchase

4.5 How INSITE earns money

Two streams, matching how existing program administrators work: **transaction fees** at funding (origination and document fees built into each deal) and **annual administration fees** for running the levy, reporting, and compliance every year for the life of each note. The annual stream is the compounding asset: every closed deal pays administration fees for decades. Exact fee levels are being modeled and are not quoted externally yet.

4.6 The launch plan

Phase 1: prove it. One pilot on a small finished-lot subdivision in the Sacramento area, financing eligible permit and impact fees; specifics publish when transaction documents are final. Phase 2: expand across neighboring counties and additional cities as requests come in, using either a joint powers partner or direct city agreements. The structure is deliberately flexible: the public agency chooses the governance path; INSITE remains the platform either way.

4.7 What INSITE is not, and its honest limits

- **Not the first.** SCIP and BOLD exist. INSITE competes on segment focus and operating model.
- **Not a lender.** Capital comes from note purchasers. No purchaser is committed yet; Western Alliance Bank and a California family office are relationship leads, and that is all they are today.
- **Not offering school fee financing at launch.** Legally possible in some structures, but it requires school district cooperation and specific documentation, so it is excluded from initial eligibility.
- **Not a finished program.** Costs, minimum deal sizes, and rates are targets and founder estimates until real quotes and a closed pilot replace them.
- **Not risk-free for anyone.** Part 5 covers the hard questions.

PART 5: TALKING TO STAKEHOLDERS

5.1 What each audience cares about

Developers care about speed, cost, and cash. Lead with: fees financed instead of paid in cash, repayment rides on the tax bill, the obligation transfers with the land.

City officials care about liability, staff time, and housing goals. Lead with: the city is never on the hook (the debt is repaid only from the special tax, not the general fund), INSITE and its consultants do the work, and the program helps the small infill projects state law now fast-tracks.

Capital partners care about security and repeatability. Lead with: property-tax-roll collection, a recorded lien with a foreclosure remedy, a 4-to-1 value cushion verified by MAI appraisal, standardized documents, and a pipeline logic tied to SB 684/1123 volume.

Appraisers and consultants care about clear scopes and steady volume. Lead with: written standards (INS-101), a standard workbook, and recurring assignments in their region.

5.2 Thirteen questions you will get, and short honest answers

1. **"Is this a new tax on homeowners?"** It is a voluntary special tax that the landowner (the developer) approves on their own land before any homes exist. Buyers see it disclosed before purchase, and it can be paid off early. Nobody who owns a home today gets a new tax.
2. **"Is the city liable for this debt?"** No. The notes are repaid only from the special taxes on the participating parcels. Neither the city's general fund nor its credit backs them.
3. **"What if the developer goes broke before building?"** The special tax lien stays on the land, the land was appraised at four times the debt, and the district can foreclose like any unpaid tax. That cushion and remedy are the core of the security.
4. **"How is this different from SCIP or BOLD?"** Same body of law, different segment and operating model. SCIP typically starts around \$500,000 in fees and pools bonds a few times a year; BOLD's average project runs near 185 units. INSITE is built for the 2-to-50-lot project, with one district per city and administrative annexation to keep per-deal costs small.
5. **"Why would a bank buy such a small note?"** Because of the security (tax roll collection, recorded lien, 4-to-1 cushion) and the standardization (every deal looks the same). Honest answer: this is exactly what the pilot must prove, and no purchaser is committed yet.
6. **"What does it cost the developer?"** Per-project execution is targeted at \$5,000 to \$30,000 (founder estimate pending quotes) plus program fees, compared with paying cash or borrowing at roughly 9.5 to 15 percent private rates.
7. **"What happens when a homeowner does not pay?"** The same thing that happens with unpaid property taxes: penalties, and ultimately the district can foreclose. Reserves and delinquency management sit between a missed payment and any loss.
8. **"Can it cover school fees?"** Legally possible in some structures, but not offered at launch. School fees need district-specific agreements, so they are excluded from initial eligibility.
9. **"Is the rate really lower than my construction loan?"** Land-secured, tax-advantaged debt generally prices below hard money. The founder's target is the mid-5 percent range, but that is a target; final pricing is set when a purchaser signs a term sheet.
10. **"Who makes sure this is all legal?"** Bond counsel issues formal opinions on each transaction, the issuer adopts policies, appraisals follow the state (CDIAC) framework required by Government Code 53345.8, and the fees themselves are governed by the Mitigation Fee Act.
11. **"Doesn't Proposition 13 or 218 block new taxes?"** Special taxes require two-thirds voter approval. On undeveloped land with fewer than 12 registered voters, the landowners are the electors, and the developer consents on their own property. That procedure is written into the Mello-Roos Act.
12. **"What would kill this idea?"** Candidly: per-deal costs coming in higher than the estimate, no purchaser appetite at small ticket sizes, slow city adoption, or a trademark conflict on the name. The red-team file tracks each of these, and the pilot is designed to answer the first two.
13. **"How long have you been doing this?"** The program is new; the mechanism and the team are not. Mello-Roos has financed California infrastructure since 1982, every technical seat is filled by recognized outside professionals (special tax consultant, bond counsel, MAI appraisers, an established tax roll administrator), and the policies are stricter than the law requires, copied from the state's most experienced issuer. Nothing in the structure depends on INSITE's tenure: the land, the tax roll, and the four-to-one cushion carry the credit. BOLD started from zero in 2020 and reached roughly \$550 million in six years; structure, not age, is the currency here.

5.3 Phrases to avoid, and what to say instead

Do not say	Say instead
"No financing exists for small projects"	"Existing programs are built and priced for larger projects"
"It's like PACE" (as a legal claim)	"The operating model is PACE-like; the legal authority is the Mello-Roos Act"
"The law requires 4 to 1"	"The law requires 3 to 1; our policy is a stricter 4 to 1, same as CSCDA's"
"Deals cost under \$10,000"	"Per-project cost is targeted at \$5,000 to \$30,000, pending real quotes"
"We finance school fees"	"School fees are excluded at launch"
Any quoted interest rate as fact	"Target pricing below private lending; set at term sheet"

PART 6: SOURCES

Every factual claim above traces to one of these, all fetched and logged in the Claims Register (01_EVIDENCE/Claims_Register.md):

- Mello-Roos mechanics, elections, liens, 6-month formation: California Debt Financing Guide (State Treasurer / CDIAC), <https://debt>

guide-api.treasurer.ca.gov/guide-pages/chapter-3-types-of-debt-obligations-issued-by-public-agencies/3-3-types-of-debt-obligations-organized-by-security-and-source-of-payment/3-3-7-special-assessments-special-taxes-and-tax-increments/3-3-7-2-mello-roos-bonds-community-facilities-districts

- 3:1 statutory value-to-lien and CDIAC appraisal standards: <https://www.treasurer.ca.gov/sites/default/files/cdiac/recmndPracticeR-E.pdf>
- CSCDA 4:1 policy: <https://cscda.org/wp-content/uploads/2021/01/Further-Amended-and-Restated-CSCDA-Local-Goals-and-Policies-for-use-of-Mello-Roos-CFDs-2019-1.pdf>
- SCIP program facts (\$500K typical, costs, pooled calendar): <https://cscda.org/infrastructure-finance-programs/> and <https://development.saccounty.gov/us/en/county-engineering/financing-districts-and-impact-fee-programs/scip.html>
- 1913/1915 Act structure: <https://www.santa-ana.org/statewide-community-infrastructure-program/>
- BOLD program facts (\$550M, 65+ projects, 12,000+ units, fee and school-fee financing): <https://www.cmfa-ca.com/bold/> and <https://development.saccounty.gov/us/en/county-engineering/financing-districts-and-impact-fee-programs/bold.html>
- Mitigation Fee Act and AB 602: https://leginfo.ca.gov/faces/billTextClient.xhtml?bill_id=202120220AB602
- SB 684 / SB 1123 details: <https://www.allenmatkins.com/real-ideas/recent-amendments-to-the-starter-home-revitalization-act.html> and <https://abag.ca.gov/technical-assistance/sb-684-2023-and-sb-1123-2024-small-lot-subdivision-and-housing-development>
- Fee sizes: <https://ternercenter.berkeley.edu/research-and-policy/the-cost-of-building-housing-series/>, <https://ternercenter.berkeley.edu/blog/residential-impact-fees/>, <https://ternercenter.berkeley.edu/blog/assessing-the-cost-of-impact-fees-on-affordable-housing-an-analysis-of-low-income-housing-tax-credit-projects-in-california/>
- Proposition 13 connection: <https://www.yahoo.com/news/articles/thousands-affordable-homes-could-built-120000462.html> (CalMatters reporting)
- 2025 permit counts (primary data, math re-run): https://www.census.gov/construction/bps/xls/stateannual_202599.xls and <https://www2.census.gov/econ/bps/County/co2512y.txt>
- Private lending rates: <https://www.northcoastfinancialinc.com/hard-money-loan-interest-rates/> and <https://www.offermarket.us/blog/hard-money-loan-interest-rate-2025>
- Founder estimates and pilot facts: Dennis Lanni emails, July 8-9, 2026 (project files)

PART 7: GLOSSARY

Annexation: joining an existing district later through an administrative process, instead of forming a new one. | **APN:** Assessor's Parcel Number, the ID a county gives each property. | **Appraisal:** a professional opinion of what a property is worth. | **Bond counsel:** lawyers who issue the formal opinion that public debt is legal and, where applicable, tax-exempt. | **CDIAC:** the California Debt and Investment Advisory Commission, part of the State Treasurer's office; publishes the appraisal standards used in land-secured deals. | **CFD:** Community Facilities District, the Mello-Roos district that levies a special tax. | **Entitlement:** the government approvals that give land the right to be developed. | **Finished lot:** a lot with streets and utilities in place, ready for a house. | **Impact fee:** a one-time charge on new construction to pay for public facilities. | **Issuer:** the public agency that legally creates the district and authorizes the debt. | **JPA:** Joint Powers Authority, a government entity formed by other governments to act together. | **Lien:** a legal claim on property securing a debt. | **MAI:** the senior designation of the Appraisal Institute. | **Ministerial approval:** approval by checklist, with no hearings or discretion. | **Mitigation Fee Act:** the state law (Gov. Code 66000+) governing impact fees. | **Nexus study:** the analysis proving a fee matches the impact it charges for. | **Note:** a loan instrument, here held by one purchaser. | **Private placement:** selling debt directly to one buyer instead of the public market. | **RMA:** Rate and Method of Apportionment, the formula that sets each parcel's special tax. | **Special tax:** the extra, voter-approved line on a property tax bill in a CFD. | **Subdivision map:** the recorded map dividing land into lots. | **Tax-exempt:** interest the investor does not pay federal income tax on. | **Tax roll:** the county's annual list of every property and what it owes. | **Value-to-lien:** property value divided by land-secured debt; 3:1 is the legal floor, 4:1 is INSITE policy.

INSITE™ is a pre-launch program concept administered by HGF Management Company. This primer is an internal education document. It is not an offer of financing, legal advice, or investment advice. Program structure is subject to issuer approval and counsel review.